Global Industrials

AI Insights: How are Industrial Companies Using AI?

Equities

Global

Industrial

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We are bullish on the outlook for AI usage across all Industrials subsectors

As part of our recent AI Q-series, we surveyed 33 UBS Industrials analysts globally across Aerospace & Defense, Airlines, Autos, Business Services, Capital Goods, Homebuilders & Building Products, and Transportation on AI use, how its implementation could impact cost structures, and which stocks are most or least preferred as a result. We find the extent to which AI is in use and delivering measurable results differs materially across the subsectors but, with references in earnings calls doubling in the past 2 years, the relevance is clearly growing. We also see AI and ML deals attracting a greater proportion of total Industrials investment in the private markets, with AI/ML VC capital invested as a percentage of total Industrials spend growing to 38% in 1H25 from flattish at c14% 2020-22. In particular, Aerospace & Defence has been an important growth driver. We expect a continuation of these trends.

Adoption accelerating, notably in Autos and Defence, but P&L impacts unclear

The impetus to offer AI enabled products and services as well as the demand for driving efficiency gains is growing. Across the multiple subsectors surveyed, the adoption of AI varies significantly:

- **Autos:** AI presents significant opportunities for automated driving, particularly at higher levels like robotaxis, which offer substantial monetization potential and value creation. Lower levels of automation, while harder to monetize, are essential for competitiveness. Additionally, AI enhances plant productivity and reduces costs. Longer-term, auto companies' development or adoption of humanoid robot applications may unlock further revenue and cost-saving opportunities.
- **Defence**: We similarly see the need for AI enabled products in Defence in particular as a means to maintain competitive product offerings. The growth seen in Defence related private investment speaks to the intensity at which technological innovation is driving competition in the sector. The development of autonomous capabilities, including drones, continues to be a key area of focus across almost all defence peers.
- **Elsewhere**: Current and potential AI use cases are significant in the broader capital goods and diversified industrials space. They span enhanced product design and engineering, factory automation and labour productivity, predictive maintenance services and dynamic pricing models.

This said, we currently see little direct evidence of current impacts to P&L or reductions to headcount across most of the industrials spectrum.

We see upside risk long term driven by operational enhancements

We see significant scope for Artificial Intelligence and Machine Learning capabilities across Industrials, some of which has started to drive change. In the long term we believe AI will become an increasingly central focus in not only driving competitiveness/ product improvements, but also in driving efficiency gains for Industrial companies. While the immediate impact on P&L metrics may not be evident, the long-term gains through optimization are clear, which in our view, presents upside risk to company performance. We believe first movers stand to benefit most, but expect cost savings in low barrier to entry business areas to be competed away in pricing.

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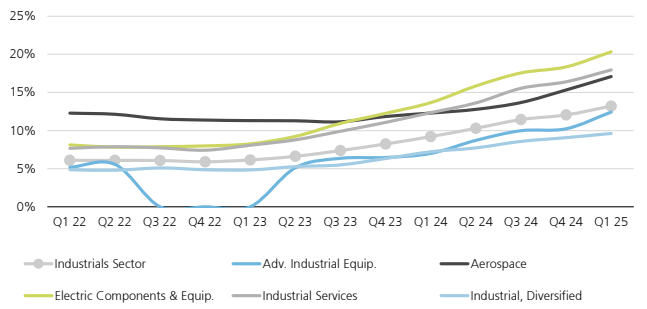
AI/ML discussions and investments are growing within Industrials

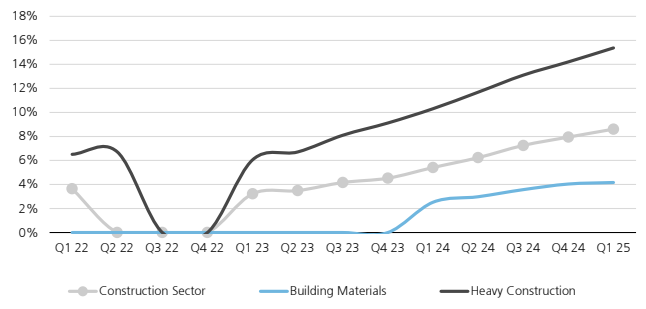
Across Industrials, mentions of AI/ML have doubled on quarterly earnings calls in the past 2 years. Among the many generative AI advancements of the past two years, we highlight that OpenAI's GPT4 was released in March 2023, Anthropic released Claude 2 in July '23, and OpenAI launched iOS and Android ChatGPT apps in May and July '23, respectively. In 1Q25, ~14% of all Industrials earnings calls discussed AI.

Figure 1: Frequency of AI as a topic has doubled in the past two years for Industrials...



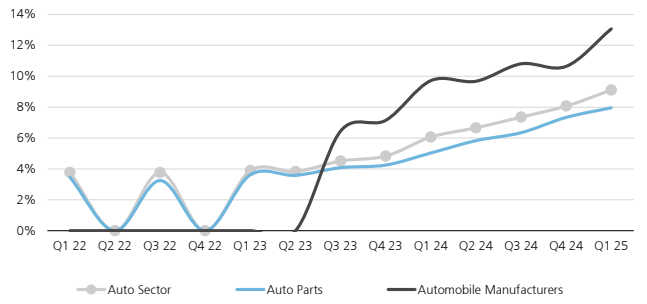
Source: UBS Evidence Lab

Figure 2: ...with construction showing a similar - but more volatile - trend



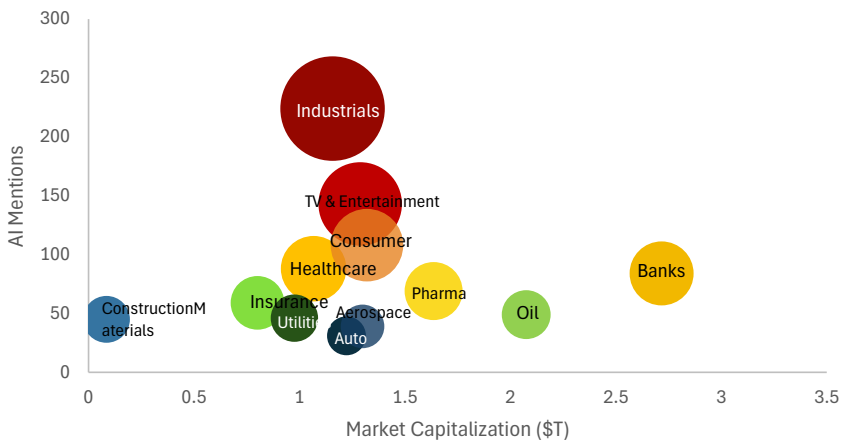
Source: UBS Evidence Lab

Figure 3: As are AI mentions for Autos



Source: UBS Evidence Lab

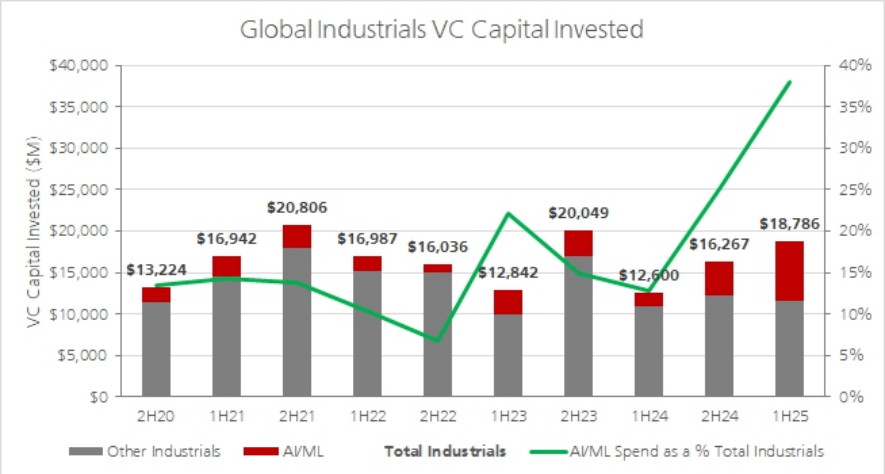
Figure 4: AI Mentions vs Market Capitalization in 1Q25 (Non-Technology Sectors)



Source: UBS Evidence Lab, UBS HOLT

Over the past year, *AI/ML deals have been attracting a greater proportion of Industrials VC spend*. Despite Industrials VC investments being relatively flat since '22, AI/ML VC capital invested grew as a percentage of total Industrials spend. In 1H25, AI/ML VC deals accounted for 38% of global VC capital invested within Industrials vs a 14% trailing average (prior 10 periods).

Figure 5: Global Industrials VC capital invested and AI/ML investments as a % of total Industrials VC investments



Source: Pitchbook, Inc., UBS Equity Research

Amongst global AI/ML deals within Industrials, VC investments grew 268% YoY in 1H25, largely due to increases in capital invested into Commercial Products, Services, and Transportation. Several companies utilizing AI/ML raised $500M+ in 1H25, including Anduril Industries ($2.5B), Helsing ($680M), Saronic Technologies ($600M), and TEKEVER ($500M). Aerospace and Defense sector has been an important growth driver for AI/ML deals in '25.

Figure 6: Changes in global VC Industrials investments within AI/ML from 1H24 to1H25

All Industrials Deals	1H24	1H25	Difference YoY ($M)	All Industrials AI/ML Deals	1H24	1H25	Difference YoY ($M)
Deal Count	2942	2146	-796	Deal Count	227	223	-4
Total Capital Invested ($M)	$12,600	$18,786	$6,186	Total Capital Invested ($M)	$1,608	$7,140	$5,533

Top 3 AI/ML Gains	1H24	1H25	Difference YoY ($M)	Top 3 AI/ML Losses	1H24	1H25	Difference YoY ($M)
Aerospace and Defense	$372	$6,086	$5,714	Road	$782	$356	-$426
Machinery (B2B)	$54	$189	$135	Construction and Engineering	$21	$3	-$18
Marine	$32	$86	$53	Industrial Supplies and Parts	$22	$12	-$11

Source: Pitchbook Inc., UBS Equity Research

Below, we include the top AI/ML VC deals in 1H25. We note that the majority of the top deals were amongst companies developing new technologies for Aerospace and Defense.

Figure 7: Top AI/ML VC deals within Industrials in 2025

Deal Date	Company	Industry	Deal Type	Deal Size ($M)
6/5/2025	Anduril Industries	Aerospace and Defense	Series G	$2,500
6/17/2025	Helsing	Aerospace and Defense	Series D	$683
2/18/2025	Saronic Technologies	Aerospace and Defense	Series C	$600
5/6/2025	TEKEVER	Aerospace and Defense		$500
8/20/2025	Motional	Road		$453
4/15/2025	Zelos Tech	Road	Series B	$300
5/2/2025	CHAOS (Aerospace and D	Aerospace and Defense	Series C	$275
4/30/2025	True Anomaly	Aerospace and Defense	Series C	$260
3/4/2025	Epirus	Aerospace and Defense	Series D	$250
3/6/2025	Shield AI	Aerospace and Defense	Series F	$240
4/29/2025	Apex	Aerospace and Defense	Series C	$200
8/9/2025	Periodic Labs	Other Commercial Products		$200
4/29/2025	Quantum-Systems	Aerospace and Defense	Series C	$178
8/26/2025	Aerospacelab	Aerospace and Defense	Series B	$109
4/14/2025	Element Labs (Commerci	Other Commercial Products	Series A	$100
8/21/2025	Forterra	Aerospace and Defense		$93
6/25/2025	Raphe	Aerospace and Defense	Series B	$92
6/10/2025	AIM	Machinery (B2B)	Series A	$91
1/17/2025	Ubicquia	Other Commercial Products	Series D	$71
5/13/2025	Saildrone	Marine	Series C1	$60
3/18/2025	GrubMarket	Distributors/Wholesale	Series G	$50
3/25/2025	Union Technologies	Aerospace and Defense	Seed Round	$50
7/29/2025	ARX (Aerospace and Def	Aerospace and Defense	Series A	$49
3/17/2025	Endera	Road		$48
5/14/2025	TurbineOne	Aerospace and Defense	Series B	$36

Source: Pitchbook Inc., UBS Equity Research

Sector Summaries

Within industrials, we've separated 33 analyst responses between Aerospace & Defense, Airlines, Autos, Business Services, Capital Goods, Homebuilders & Building Products, and Transportation.

- **Autos**: appears to have some of the most distinct internal opportunities from AI, including autonomous driving and humanoid robot applications along with the more standard operational enhancements. This is showing up in both higher capex but expected longer term cost savings.
- **Airlines**: have the ability to optimize route planning and improve the customer experience.
- **Capital goods**: and broader diversified industrials have opportunities ranging from product design and engineering, to labor productivity / factory automation, and improved services via predictive maintenance.

Yet across most of the industrial spectrum, there's little direct evidence of much effect on either P&L or headcount.

Note: Figures 8-14 below contain stocks that may be impacted by a specific scenario. The scenarios described herein may play out over a multi-year period, whereas UBS equity analysts' base-case views are based on the next 12 months. All ratings are current, as shown in the most recent published UBS research report relating to each company. These reports are available on UBS Neo.

Figure 8: Aerospace & Defense; data analytics and design

Analyst	Region	Super sector	Sub Sector	Internal Use Cases	Direct Impact on P&L	Effects on Headcount Growth	Best-positioned companies	Potentially Challenged companies
Gavin Parsons	AMER	Industrials	Aerospace & Defense	◦Aerospace: aircraft design and testing, factory automation, and predictive maintenance ◦Defense: battlefield awareness, cybersecurity, unmanned systems and interoperable networks	Operational enhancements leading to margin expansion	No direct evidence	Government IT and Hardware companies	Government IT but could be offset by higher margins
Ian Douglas-Pennant	EMEA	Industrials	Aerospace	◦Process automation ◦Improvement in data analytics ◦Operational enhancements ◦Predictive maintenance ◦Product development ◦Enhanced customer experience	No direct evidence, interviews outlining cost savings	No direct evidence	Rolls and Safran	Theon and Melrose

Source: UBS

Figure 9: Airlines; route optimization

Analyst	Region	Super sector	Sub Sector	Internal Use Cases	Direct Impact on P&L	Effects on Headcount Growth	Best-positioned companies	Potentially Challenged companies
Thomas Wadewitz and Atul Maheswari	AMER	Industrials	Airlines	◦Dynamic pricing ◦Enhanced customer experience	No direct evidence	No direct evidence	◦Delta Airlines ◦United Airlines ◦American Airlines	◦JetBlue ◦Allegiant Travel ◦Frontier Group
Perry Yeung	APAC	Industrials	Asia Airlines	◦Operational enhancements ◦Driving labor productivity ◦Dynamic pricing ◦Enhanced customer experience	No direct evidence, expected marginal impacts on revenue	No direct evidence, expected slowing headcount for administrative staff	No direct evidence	Not applicable

Source: UBS

Figure 10: Building

Analyst	Region	Super sector	Sub Sector	Internal Use Cases	Direct Impact on P&L	Effects on Headcount Growth	Best-positioned companies	Potentially Challenged companies
John Lovallo	AMER	Industrials	Homebuilders & Building Products	◦Home Showing ◦Interior design automation ◦Dynamic pricing tools	No direct evidence; elevated SG&A spend	No direct evidence	◦Meritage Homes Corporation ◦Builder's FirstSource ◦Ferguson	Not applicable
Marcus Cole	EMEA	Industrials	Building Materials & Construction	◦Administrative automation ◦Health & safety ◦Predictive maintenance ◦Production optimization	No direct evidence	No direct evidence	Limited adoption across Building & Construction	Limited adoption across Building & Construction

Source: UBS

Figure 11: Capital Goods; design and engineering, labor productivity & factory automation

Analyst	Region	Super sector	Sub Sector	Internal Use Cases	Direct Impact on P&L	Effects on Headcount Growth	Best-positioned companies	Potentially Challenged companies
Amit Mehrotra	AMER	Industrials	Large-cap EEMI	◦Operational enhancements: remote monitoring systems ◦Driving labor productivity ◦Accelerate product development	No direct evidence; operational enhancements leading to margin expansion	No direct evidence, but marginal impact on headcount growth	Trane Technologies	No direct evidence
Damian Karas	AMER	Industrials	SMID-cap EEMI	◦Operational efficiency ◦Automating factory floors	No direct evidence; operational enhancements leading to margin expansion	No direct evidence	Cognex	No direct evidence
Steven Fisher	AMER	Industrials	Machinery, Engineering & Constructions	◦Operational enhancements: design and engineering ◦Enhanced program delivery ◦Driving labor productivity ◦Enhanced customer experience	No direct evidence; operational enhancements leading to margin expansion	No direct evidence	Deere & Co	Not applicable
Phyllis Wang	APAC	Industrials	China Machinery	◦Operational enhancements ◦Product development	No direct evidence	No direct evidence	OPT Machine Vision	Not applicable
Nathan Reilly	APAC	Industrials	AU Industrials	◦Operational enhancements ◦Driving labor productivity ◦Demand forecasting ◦Safety improvement ◦Targeted marketing campaigns	No direct evidence	No direct evidence	Worley	Not applicable
Alberto Valerio	AMER	Industrials	LatAm Transportation, Capital Goods & Cement Construction	◦Process automation ◦Operational enhancements ◦Data center infrastructure ◦Driving labor productivity ◦Enhanced customer experience	No direct evidence	No direct evidence	Weg SA	Due to capital intensity: ◦Toll roads: PINFRA, ECOR, and CCR ◦Mexican airports: ASUR,GAP, and OMA
Yong Suk Son	APAC	Industrials	Korea Steel and Shipbuilding	◦Operational enhancements ◦Design optimization ◦Predictive maintenance ◦Defect detection ◦Factory automation	No direct evidence, qualitatively positive anecdotes	No direct evidence	Doosan Robotics	Not applicable

Source: UBS

Figure 12: Business Services; better productivity

Analyst	Region	Super sector	Sub Sector	Internal Use Cases	Direct Impact on P&L	Effects on Headcount Growth	Best-positioned companies	Potentially Challenged companies
Joshua Chan	AMER	Industrials	Business Services	Driving labor productivity	No direct evidence	No direct evidence	Comfort Systems	Fiverr International
Rory McKenzie	EMEA	Industrials	Support Services	◦Process automation ◦Improvement in data analytics ◦Driving labor productivity ◦Enhanced customer experience	No direct evidence: ◦Experian: implied acceleration of EBITDA growth attributable to AI adoption ◦Concentrix: investment in technology has led to squeeze on margins and hit on revenue	No direct evidence. There is evidence of reducing labor intensity across the sector over the past decade due to a rise in outsourcing, but might in part be due to digitalization	Experian	◦Outsourced CX: Teleperformance ◦Staffing companies: Adecco, Randstad, Hays and PageGroup

Source: UBS

Figure 13: Autos; autonomous driving and humanoid robot applications

Analyst	Region	Super sector	Sub Sector	Internal Use Cases	Direct Impact on P&L	Effects on Headcount Growth	Best-positioned companies	Potentially Challenged companies
Joseph Spak	AMER	Industrials	Autos	◦Automated driving ◦Humanoid robots ◦Factory automation ◦Product design	Cost/ CAPEX from AI investment in other companies	No direct evidence	Tesla	Not applicable
Patrick Hummel	EMEA	Industrials	European Autos	◦Autonomous driving ◦Operational enhancements ◦Targeted marketing campaigns ◦Enhanced customer experience	No direct evidence, expected cost savings	No direct evidence	BMW and Mercedes-Benz	European mass OEMs: Volkswagen, Stellantis and Renault
Paul Gong	APAC	Industrials	China Auto	◦Autonomous driving ◦Product development ◦Predictive maintenance ◦Enhanced customer experience	No direct evidence	No direct evidence	Li Auto and XPeng	Not applicable

Source: UBS

Figure 14: Transportation; pricing and operational improvements

Analyst	Region	Super sector	Sub Sector	Internal Use Cases	Direct Impact on P&L	Effects on Headcount Growth	Best-positioned companies	Potentially Challenged companies
Thomas Wadewitz	AMER	Industrials	Freight Transports	◦Operational enhancements: sourcing capacity ◦Driving labor productivity ◦Enhanced customer experience	No direct evidence	No direct evidence	Brokers and forwarders: ◦CH Robinson Worldwide ◦RXO Inc ◦Expeditors International of Washington	Not applicable
Cristian Nedelcu	EMEA	Industrials	Transport	◦Pricing tool ◦Operational enhancements ◦Improvement in data analytics ◦Enhanced customer experience	No direct evidence	No direct evidence	DHL Group and Kuehne + Nagel International	DSV

Source: UBS

AEROSPACE AND DEFENCE

EU Aerospace & Defence

Analyst(s): Ian Douglas-Pennant

Question	View
Can you identify specific internal Use Cases for any Companies in your Coverage that has deployed AI?	**Industry wide** Basic AI uses include simple chat bot features for quicker and accurate replies assisting sales teams, for example. Airbus list some use cases here but cite regulatory constraints as the biggest headwind to mass rollout of (Gen) AI tools. More involved AI uses include predictive maintenance, robotics/computer vision/ ML to optimise production and assembly processes (factory of the future model i.e. smart factories), quality assurance – inspecting parts to ensure they aren't faulty for example, supply chain/logistics programs to help optimise inventory, design and engineering tools to help generate models and product designs/run simulations/real-time testing, and in HR for screen applicants & workforce planning. For example Safran acquired Preligens with a primary focus on digital inspection methods, general efficiency, flight safety – no specific cost savings have been mentioned. AI has broad applications across the defence landscape from autonomous/unmanned platforms and systems to cybersecurity to cross platform communication and networking capabilities. **General impact** The general impact is mostly on cost. Long term cost savings are expected from better use of AI through keeping the workforce lean and saving on cost through navigating issues in the supply chain more effectively
Is there any evidence that AI Use has begun to have a positive or negative impact on revenue or margins in your sector?	While it's not blatantly apparent, nor a topic of discussion on earnings calls or conversations with investors, there are some articles and interviews outlining cost savings from the use of AI internally. RR were able to save £180m on sourced products through using decision models to help negotiate price for example. They also started implementing a supply chain management tool to map defence demand with expected £75m in savings over 2024-26, which should increase as more engines are onboarded. One of the biggest areas might be through operating a more agile/lean workforce. Skilled labour has been a headwind to production ramp up in the sector, but smarter production processes can help alleviate such pressures. Such investments are often counter cyclical though so its unlikely that we see vast investment here any time soon. Melrose for example is investing in its additive manufacturing business and there's scope there for AI to be used within the design and engineering process – however, whilst there is currently no hard disclosure on this, we current estimate that this doesn't contribute positively to the P&L.
Is there any evidence that the use of AI has led to any slower rate of employee/headcount growth?	We do not currently see anything to suggest AI is impacting the workforce either positively or negatively.

Question	View
Which company in your coverage do you think is best positioned to take advantage of AI over the next three years? Where do you expect to see the biggest impact on P&L and can you size the potential opportunity?	**Civil** • **Rolls Royce**: Given RRs trajectory through its operational turnaround they appear more likely to adopt AI in addition to the ways they already use it. Especially with how they aim to make improvements to their engines seen in projected time on wing improvements that purely arise from managing the engines better (monitoring and tracking the data of engine performance to optimise use) rather than any physical engineering improvements to them per se. • **Safran**: its €220m acquisition of preligens, which specialises in geospatial AI applications within A&D, aims to optimise Safran's Defence and Electronics product lines in particular. • **Airbus**: Airbus has large scope to implement AI process to manage supply chain and logistics complexities and in managing its workforce but we haven't seen anything to support this in particular. Airbus Defence & Space already looks to leverage AI in the development of the future fighter jet platform (FCAS) which will have both crewed and uncrewed optionality and will operate in conjunction with unmanned remote carriers and other supporting assets as part of an intelligent combat cloud system. **Defence** • **Thales**: known for its advanced electronic warfare product suite incorporates AI to aid in the pinpointing and jamming of targets. Thales has a dedicated AI research team; cortAIx, focussed on enhancing sensor (sonar, radar, radio and optronics) systems. • **BAE Systems**: also plays a key role in the development and integration of similarly intelligent systems on the GCAP program as well as the development of more advance drone systems which has begun seeing and should continue to see rapid growth. • **Saab**: develops drone and other autonomous systems. Through its partnership with Helsing, Saab has also been able to successfully demonstrate autonomous Gripen capabilities.
Which company in your coverage is most challenged due to AI over the next three years and explain why?	Hard to say. Likely Theon – its smaller and has a very simple already pretty efficient business model so it doesn't seem like there is much of a need to implement AI tools, and Melrose – due to the progress we are yet to see in additive manufacturing. Clearly they're trying to innovate but the limited disclosure and evidence of delivery in the additive manufacturing business so far makes the potential benefits difficult to judge at this stage.

US Aerospace & Defence

Analyst(s): Gavin Parsons

Question	View
Can you identify specific internal Use Cases for any Companies in your Coverage that has deployed AI?	**Aerospace** In Aerospace, AI is being used for aircraft design and testing, factory automation, predictive maintenance, and more. Tools like Collins Aerospace's Ascentia analytics helps the company make strategic maintenance decisions to minimize aircraft downtime. **Defense** In Defense, many AI applications are use-case specific for military applications such as battlefield awareness, but also apply to cybersecurity, unmanned systems, interoperable networks and capabilities, and more. Drone usage has increased significantly in Ukraine and AI is being used to develop drone swarming capabilities.
Is there any evidence that AI Use has begun to have a positive or negative impact on revenue or margins in your sector?	We see Government IT as an enabler and implementer of AI solutions for the US DoD and Federal Government. Booz Allen Hamilton (BAH) claims $600mn of AI revenue from the US Government, with a goal of reaching $1bn within a few years. BAH Thunderdome contract has built and deployed the largest integrated zero-trust solution at scale. We believe AI will support continued efficiency improvements across the hardware oriented Aerospace and Defense names in our coverage, contributing to upward pressure on margins
Is there any evidence that the use of AI has led to any slower rate of employee/headcount growth?	Not to date; the industry has been labor constrained and continues to hire to support end market growth.
Which company in your coverage do you think is best positioned to take advantage of AI over the next three years? Where do you expect to see the biggest impact on P&L and can you size the potential opportunity?	Government IT is the most likely near-term beneficiary if the Government invests in and adopts more AI, whether from a National Security or efficiency perspective. Longer term, hardware companies in both Aerospace and Defense could see benefits from faster and cheaper development cycles versus what is historically a capital intensive high development cost industry
Which company in your coverage is most challenged due to AI over the next three years and explain why?	The answer here may also prove to be Government IT. With a portion of revenue derived based on headcount/labor hours, greater efficiency both internally and at the Government customer could reduce revenue, but this could be offset by higher margins

European Airlines

Analyst(s): Jarrod Castle

Question	View
Can you identify specific internal Use Cases for any Companies in your Coverage that has deployed AI?	A number of European airlines have integrated AI into their operations, most notably through CRM, pricing and MRO With regards to customer experience, AI is used to tailor offers and promotions to individual passengers based on bookings and browsing behaviour (RyanAir). It is also used to personalise in flight entertainment and on board services (IAG) as well as handle customer queries, rebook flights and provide real time updates (Lufthansa) On the operational efficiency front, AI is used for predictive maintenance to analyse aircraft sensor data in an attempt to predict component failures before they happen, improving safety and aircraft availability (easyJet, Lufthansa). Carriers also use AI to optimise flight paths in an attempt to maximise fuel efficiency (Lufthansa, IAG). Such technology is also used to optimise crew rosters (Air France KLM) as well as identify new profitable routes (easyJet). Further applications include flight delay predictions based on weather, air traffic and historical data (Ryanair) and baggage tracking predictions (Air France KLM). Lastly AI can be used for pricing models in order to optimise fares and load factors.
Is there any evidence that AI Use has begun to have a positive or negative impact on revenue or margins in your sector?	While the use of AI might result in a lower number of employees, fuel management optimisation and revenue benefits, one cannot disentangle from current operations.
Is there any evidence that the use of AI has led to any slower rate of employee/headcount growth?	We do not believe that cabin crew/pilot recruitment has experienced any change given regulation around crew. However, as technology develops we believe resulting efficiencies will be seen in customer relationship management, financial function, airport functions and potentially even in the plane.
Which company in your coverage do you think is best positioned to take advantage of AI over the next three years? Where do you expect to see the biggest impact on P&L and can you size the potential opportunity?	No airline screens as being 'best positioned to take advantage of AI over the mid term.
Which company in your coverage is most challenged due to AI over the next three years and explain why?	N/A

US Airlines

Analyst(s): Thomas Wadewitz and Atul Maheswari

Question	View
Can you identify specific internal Use Cases for any Companies in your Coverage that has deployed AI?	Its still early days in Airlines with respect to adoption of AI, but DAL has talked about using AI for dynamics pricing, improved customer segmentation. The impact could be on improved revenue generation and might be material over the long-term.
Is there any evidence that AI Use has begun to have a positive or negative impact on revenue or margins in your sector?	Not at the moment, it could be more visible in the next 3 years in the form of improved revenue growth.
Is there any evidence that the use of AI has led to any slower rate of employee/headcount growth?	No
Which company in your coverage do you think is best positioned to take advantage of AI over the next three years? Where do you expect to see the biggest impact on P&L and can you size the potential opportunity?	We see DAL, UAL and also AAL to some extent as the biggest beneficiaries of AI as they use the technology to augment their revenue generation capabilities. The biggest lift will likely come in the revenue side as AI related tools could be used for dynamic pricing and enhanced customer segmentation, among others.
Which company in your coverage is most challenged due to AI over the next three years and explain why?	JBLU, ULCC and ALGT are likely to be most challenged. These companies have less resources to commit on AI than its large counterparts and thus could be at risk of relative share losses to the larger players.

Asia Airlines

Analyst(s): Perry Yeung

Question	View
Can you identify specific internal Use Cases for any Companies in your Coverage that has deployed AI?	We currently see AI used in customer service and engagement (KLM uses Digital Genius to answer social media inquiries), fuel efficiency solutions (AirFrance and subsidiary Transavia have developed 'Sky Breathe' technology to identify the most relevant fuel saving opportunities) as well as enhancing operational efficiency (e.g., Air China uses AI to optimize the work schedule for its cabin crews and ground support staff). Airlines also engage in dynamic pricing and yield optimisation, which can be further augmented by predictive capabilities. Some airlines (e.g., Singapore Airline) have created a safe experimental environment to explore the potential use cases of generative AI.
Is there any evidence that AI Use has begun to have a positive or negative impact on revenue or margins in your sector?	While the use of AI might result in headcount saving, improved fuel efficiency and revenue management, we believe AI will only marginally impact the sector revenue or profitability in a positive way.
Is there any evidence that the use of AI has led to any slower rate of employee/headcount growth?	AI is unlikely to result in any meaningful headcount saving in cockpit and cabin crew, being the major components of airlines' headcount. At a margin, some ground staffs (e.g., customer service) could be replaced by AI.
Which company in your coverage do you think is best positioned to take advantage of AI over the next three years? Where do you expect to see the biggest impact on P&L and can you size the potential opportunity?	Within airlines sector, there is no obvious outlier that could be materially better positioned to take advantages of AI over the next 3 years.
Which company in your coverage is most challenged due to AI over the next three years and explain why?	Not Applicable

US Large Cap EEMI and Multi-Industrials

Analyst(s): Amit Mehrotra

Question	View
Can you identify specific internal Use Cases for any Companies in your Coverage that has deployed AI?	Many companies in our Electrical Equipment & Multi-Industry coverage use AI tools to improve the productivity of labor and equipment and to further grow revenue opportunities with customers. We include some examples below: • **Fastenal**, an industrial distributor, uses AI to enhance its virtual assistant and has a tool for employees in the field to make decisions on sourcing parts and quoting prices. Fastenal's AI tools leverage large amounts of data and have reduced the time to complete various tasks from weeks to minutes. • **Grainger**, another industrial distributor, uses machine learning to optimize SKU breadth and depth, and noted a 250 basis point improvement in service levels using this technology (i.e., an improvement in the percentage of items in stock at the optimal shipping location). It also uses generative AI to better scale customer service agents. • **3M** uses AI to accelerate product innovation. AI is one component of the company's effort to reduce the time to market by 20%. The company has also seen a 16% reduction in materials waste using AI. • **Johnson Control**, an HVAC and building management company, uses AI in its remote monitoring systems to improve utilization and efficiency. Proactive repair recommendations are contributing to its overall services growth.
Is there any evidence that AI Use has begun to have a positive or negative impact on revenue or margins in your sector?	We provide some examples of the impact of AI above. Generally we would say that when used internally, AI improves efficiency and is therefore a tailwind to margins. AI tools can also add value to customers which creates more revenue opportunities. We expect disclosures on the benefits of AI to increase over the next three years.
Is there any evidence that the use of AI has led to any slower rate of employee/headcount growth?	AI may marginally impact headcount growth in certain areas, but this generally does not seem to be material
Which company in your coverage do you think is best positioned to take advantage of AI over the next three years? Where do you expect to see the biggest impact on P&L and can you size the potential opportunity?	Trane Technologies, a producer of heating & cooling equipment, recently acquired BrainBox AI. This business uses deep learning algorithms to predict building energy needs and automate HVAC systems, which can reduce energy consumption by up to 25%. Brainbox advances traditional HVAC systems, which rely on data from internal sensors (e.g., thermostat, humidity), by incorporating additional external data & forecasts (e.g., weather forecast, occupancy, energy source / cost) to further optimize efficiency. The company's solution generally requires low upfront costs and can be plugged into a building's existing control system, increasing energy efficiency 15-25% in the first year. This is in addition to future benefits such as increased life cycle of equipment and providing an early warning when equipment is at risk of failure. This acquisition is not yet accretive to Trane's consolidated earnings but we believe the benefits over time will be material.
Which company in your coverage is most challenged due to AI over the next three years and explain why?	Over time we will get more data on the uses and impact of AI, but for now we think it is too early to say that a company is especially challenged. In general, we cover well-run industrial companies that understand the importance of investing in innovation

US SMID Cap Multi-Industrials

Analyst(s): Damian Karas

Question	View
Can you identify specific internal Use Cases for any Companies in your Coverage that has deployed AI?	Many of the companies within our SMID Industrials coverage use AI tools to increase their internal productivity and operating efficiency, and to support product vitality and sales growth. We include some examples below: • **Flowserve**, a flow control equipment provider, is incorporating generative AI to connect their extensive company data with their employees and drive further productivity within their operations. • **Gates**, a power transmission and fluid power supplier, is using AI to make improvements to their manufacturing efficiency, utilizing deep learning AI models and simulation-based process optimizations. • **Pentair**, a water solutions company, is in the process of digitizing upstream operations, including their sales, marketing, and sales force data. They are using AI to generate analytics in their new cloud platforms. • **SPX Technologies**, an HVAC and Detection and Measurement company , is using AI for their own software development, code generation, etc. AI is a key enabler in their internal initiatives to become a more digitalized organization. Other use cases mentioned include using AI tools for documentation and contract reviews and automation on the factory floor. • **Watsco**, a leading HVAC distributor, launched two AI platforms, one internal and one external, to harness data. Artificial intelligences offers the potential to improve operating efficiency, and create new data-driven growth strategies.
Is there any evidence that AI Use has begun to have a positive or negative impact on revenue or margins in your sector?	We provide some examples above of how AI is helping companies to operate more efficiently. Generally speaking, adopting AI internally will improve productivity and therefore should be a tailwind to margins. On the revenue side, companies supplying AI powered tools can create more revenue opportunities with customers because of the higher value-add. We expect more details on the benefits of AI to emerge over the near to mid-term.
Is there any evidence that the use of AI has led to any slower rate of employee/headcount growth?	Overall, the impact so far to headcount may be marginal. Generally speaking, AI so far has helped employees become more productive.
Which company in your coverage do you think is best positioned to take advantage of AI over the next three years? Where do you expect to see the biggest impact on P&L and can you size the potential opportunity?	Cognex, a leading machine vision technology provider, is the best positioned in our coverage to take advantage of the AI opportunity. At their recent Investor Day this year, Cognex's business leaders showcased how their products have an "edge" in machine vision by being faster to train, more accurate, scalable and require less power compared to other AI competition. Mgmt noted how their products compare to generic vision models and the comparison is compelling in how much more accurate Cognex is, especially across environmental and product variations. Complementing their AI-enabled devices, CGNX has also introduced a MV cloud offering ("OneVision"), which is expected to help customers deploy more advanced tasks to edge devices and more quickly. CGNX is attempting to address the barriers they see to AI-powered machine visions adoption which includes long development cycles, expensive infrastructure investments, lack of integration and inconsistency across sites. OneVision is currently available for select customers and will be released on additional CGNX products in early 2026.
Which company in your coverage is most challenged due to AI over the next three years and explain why?	It is too early to say which company is challenged. Generally speaking, all of our companies are aware of the transformative nature of AI in terms of what it means for their own business and what it means for customers.

US Machinery, Engineering & Construction

Analyst(s): Steven Fisher

Question	View
Can you identify specific internal Use Cases for any Companies in your Coverage that has deployed AI?	We have also seen companies implementing predictive maintenance (eg truck remote monitoring, others as well). We expect rental companies to use AI to manage customer service issues. Some company specific examples below: • **Deere** has been working on See and Spray since it acquired Blue River Technologies. Others have followed. Could disrupt ag chems (saving 60% of usage of certain chems). • Engineering firms such as **Jacobs**, **AECOM** and **WSP**, are using digital tools, including AI enabled platforms to enhance program delivery, and also to improve efficiency internally, including automated proposal development, and around design/engineering (work routing to optimal locations, etc; should be margin enhancing). • Rental companies such as **United Rentals** are using AI to help determine inventory levels, pricing, etc and generally match supply and demand for equipment on construction projects.
Is there any evidence that AI Use has begun to have a positive or negative impact on revenue or margins in your sector?	See above. Deere et al broadening commercialization in 2025. Deere has rolled out See and Spray to a limited customer base in 2024/2025 (hundreds), and in 2025 has over 1,000 orders for See and Spray. For engineering firms using AI to enhance efficiency, could result in less billable engineering/design hours, but higher margins due to improved efficiency.
Is there any evidence that the use of AI has led to any slower rate of employee/headcount growth?	No, but investors are starting to ask the question about whether engineering services will face a headwind from AI driving a reduction in hours/people needed to design projects. For now, the companies have focused on internal benefits: • **AECOM**: "AI is going to have a material impact on our business over the next two or three years." It is providing a "good lift in all facets of how we go to market, how we operate, deliver, and the opportunity to become more efficient in each one of those phases." • **Jacobs**: "A lot of investments, also happening internally from an efficiency standpoint, looking at enterprise functions in terms of how we can improve the efficiency through automated tools, Agentic AI, and so forth. And we'll provide a lot more color. But suffice it to say, those are all in the early stages of providing some substantial operating leverage for us going forward." • **WSP**: "Internally, WSP has pragmatically deployed AI tools globally with strong initial impact and feedback. Several internal AI workstreams are in progress with some already contributing to internal productivity improvements"
Which company in your coverage do you think is best positioned to take advantage of AI over the next three years? Where do you expect to see the biggest impact on P&L and can you size the potential opportunity?	From a revenue perspective, we think the adoption of precision agriculture via ag machinery companies, such as Deere, CNH, and AGCO well positioned to benefit from AI driven automation/autonomy/customer efficiency products and programs. Deere projects 10% of their equipment sales to be from recurring services in 2030. Deere has also said that their system is saving farmers in the range of 60% on certain chemical spending. From an infrastructure and power build out perspective, we think the grid and electric contractors such as PWR, MTZ, PRIM, EME, are all well positioned to benefit from continued build out of data centers and the related power and grid infrastructure. Quanta has cited a $300b TAM for tech company spending alone.

Question	View
Which company in your coverage is most challenged due to AI over the next three years and explain why?	At this early stage, we would not call out net challenges. As discussed above, professional services companies will need to determine how to leverage AI into more of a net benefit in the event that AI does materially reduce the billable hours available to the industry.

China Machinery

Analyst(s): Phyllis Wang

Question	View
Can you identify specific internal Use Cases for any Companies in your Coverage that has deployed AI?	• **OPT** (688686.CH) – machine vision products combined with AI technology • **Estun** (002747.CH)– AI embodied industrial robot (mainly trainingless products)
Is there any evidence that AI Use has begun to have a positive or negative impact on revenue or margins in your sector?	Not yet. Revenue contribution from AI will be still small in the next three years.
Is there any evidence that the use of AI has led to any slower rate of employee/headcount growth?	Not yet
Which company in your coverage do you think is best positioned to take advantage of AI over the next three years? Where do you expect to see the biggest impact on P&L and can you size the potential opportunity?	OPT (688686.CH). small earning impacts in the next three years.
Which company in your coverage is most challenged due to AI over the next three years and explain why?	Not Applicable

Australia Industrials

Analyst(s): Nathan Reilly

Question	View

Can you identify specific internal Use Cases for any Companies in your Coverage that has deployed AI?	• **Use Case 1: Improving Productivity / Administrative Tasks**
	  • **Worley** - Smart Response Generator: AI model developed internally by the firm. Helps employees respond to customers faster by drafting responses to customer queries. Reduces response time from approximately two weeks to less than two days. Frees up employees to focus on higher quality output of more value-focused deliverables.
	  • **Orica** - Generative AI: GenAI (e.g. Copilot, Orica Internal GPT) used to improve employee efficiency. ~3 hours per month saved per user in pilot roll out of MS Copilot. Document translator has saved over 17,000 human hours per quarter. Commercial product assistant has reduced proposal drafting from 3 days to 30 minutes for commercial team.
	  • **Cleanaway** - Route Optimisation: From FY24-25+, beginning to use AI-driven advanced analytics program for initiatives like waste collection route optimisation (improves route density and reduces fleet/transport costs)
	• **Use Case 2: Demand Forecasting**
	  • **Orica** - Demand forecasting: In-house AI model trained to predict demand in NorthAm business. Initial results show Sales Forecasts Accuracy has increased by an avg of 10% m/m for the Electronic Blasting System product category in NorthAm. Leads to less unused inventory and missed opportunities. Orica intends to expand this to other products and regions.
	  • **Bluescope** - (Pilot) demand forecasting: Conducted a pilot program in 2020 to improve end-to-end decision-making processes. Introduced machine learning models to improve level of accuracy in forecasting demand for certain products, developing inventory optimisation models.
	• **Use Case 3: Safety Improvement**
	  • **Downer** - Zero Harm management system: When a Downer employee logs information about their day's work, or looks at incident reports, Microsoft Azure machine learning natural language processing model automatically identifies risks the employee might be exposed to, and the control that will mitigate those risks.
	  • **Monadelphous** - Driver fatigue and distraction monitoring tech: Monadelphous has installed driver fatigue and distraction monitoring tech in over 100 light vehicles. Technology improves safety by leveraging computer vision, artificial intelligence and haptic feedback to provide real time driver alerts.
	  • **Orica** - Machine Vision AI Safety System: AI in Orica vehicles analyses real-time footage of drivers to sound an alarm if they aren't wearing their seat belts.
	• **Use Case 4: Marketing**
	  • **James Hardie** - Hardie Designer: Launched in 2025, an AI design tool or homeowners to visualise and design their homes with Hardie products.

Is there any evidence that AI Use has begun to have a positive or negative impact on revenue or margins in your sector?	Companies in our coverage haven't called out specific impacts of AI. Rather, general statements are given on the potential of broader "digital transformation programs". Most statements given are also forward looking, pointing to longer term impacts as opposed to any immediate or ongoing impacts.
Is there any evidence that the use of AI has led to any slower rate of employee/headcount growth?	No Evidence

Question	View
Which company in your coverage do you think is best positioned to take advantage of AI over the next three years? Where do you expect to see the biggest impact on P&L and can you size the potential opportunity?	Worley is best positioned. We see the largest potential in the use of AI to automate administrative or time-intensive tasks, which would drive labour efficiency and cost-savings. This aligns most with Worley's business, as they offer labour-intensive services (particularly in consulting and engineering). Similarly, Cleanaway can benefit from route optimisation increasing driver productivity. We also view Worley favourably due to their significant pipeline of AI R&D explicitly flagged by management. In CY24, Worley launched an Advanced Development Lab focused on developing use cases for AI under 6 opportunity areas; 1) AI driven design, optimisation & automation, 2) AI generated written content & insights, 3) AI accelerated business case & scenario exploration, 4) AI enhanced supplier integration & collaboration, 5) AI enhanced knowledge sharing & information retrieval, 6) AI generated estimates & benchmarking.
Which company in your coverage is most challenged due to AI over the next three years and explain why?	We don't see AI presenting any particular challenges to companies in our coverage.

LatAm Transportation, Capital Goods & Cement Construction

Analyst(s): Alberto Valerio

Question	View

Can you identify specific internal Use Cases for any Companies in your Coverage that has deployed AI?	• **WEG**: WEG utilizes artificial intelligence (AI) to drive innovation in industrial processes, optimize operations, and create new revenue streams, particularly through its involvement in advanced data center infrastructure and Industry 4.0 solutions.
	  • WEG plays a critical role in powering AI-driven data centers through its partnership with Elea Data Centers. By supplying high-performance transformers to Elea's 50MW AI-focused site in São Paulo, WEG ensures reliable energy distribution tailored for AI applications, including liquid cooling systems for high-demand equipment. These transformers are engineered for sustainability and efficiency, aligning with Brazil's growing digital economy and positioning WEG as a leader in critical AI infrastructure.
	  • Plus, the company's expertise in transformers directly supports the scalability of AI operations by ensuring uninterrupted power supply to data centers, which are essential for hosting large-scale transformer-based AI models. There are two major opportunities to WEG: (a) Emergency Power Generation: Data centers use redundant power supply systems, primarily through generator sets, where WEG supplies the alternator generators. Marathon (one of WEG's brands) has significant exposure, working with some of the main providers of this type of solution in the U.S. An alternative is energy storage systems using batteries (BESS). (b) Cooling Systems: Data centers require cooling for processing systems. Consequently, the demand is expected to grow in the HVAC (Heating, Ventilating, and Air Conditioning) segment, which uses electric motors and automation equipment that we manufacture.
	  • Finally, WEG's acquisition of AI-focused start-ups like Mvisia and BirminD has enabled the integration of machine learning algorithms and computer vision systems into its WEGnology IoT platform, enhancing capabilities such as real-time monitoring, defect detection, and predictive maintenance for industrial processes. These technologies improve efficiency and reduce costs while generating insights that support decision-making across manufacturing execution systems (MES).
	• **Embraer**: Embraer utilizes artificial intelligence (AI) to drive innovation, enhance operational efficiency, and create new revenue streams in the aerospace sector.
	  • One of its most groundbreaking initiatives is the concept of a fully autonomous, AI-powered passenger plane that eliminates the need for human pilots, leveraging deep learning algorithms and advanced autonomous systems to manage all aspects of flight. This cockpit-free design enhances fuel efficiency, sustainability, and passenger comfort while reducing costs associated with pilot training and salaries.
	  • Embraer is also deeply involved in AI-driven research through partnerships with firms like Near Earth Autonomy and Daedalean under Project EASy, focusing on autonomous flight technologies for both commercial aviation and eVTOL aircraft developed by its subsidiary Eve.
	  • Additionally, Embraer integrates AI into its operations via platforms like 3DEXPERIENCE to streamline aircraft design and production processes across business units. By supplying high-performance transformers tailored for AI-focused data centers, Embraer directly supports infrastructure critical to hosting large-scale AI models.

Question	View

Can you identify specific internal Use Cases for any Companies in your Coverage that has deployed AI?	• **GAP (Grupo Aeroportuario del Pacífico)**: GAP employs AI to improve operational efficiency and enhance passenger experiences across its network of airports.
	  • AI-driven systems are used for optimizing passenger flows and increasing exposure to commercial spaces, as seen in the redesign of Guadalajara International Airport.
	  • This project incorporates AI-powered analytics to rationalize passenger movements, enhance engagement with retail and dining options, and maximize revenue from commercial zones.
	  • GAP also integrates AI into logistics and operational planning to manage increased passenger traffic efficiently.
	• **Rumo**: Rumo has implemented the Broken Rail Detection (DTQ) project, integrating AI to increase the accuracy of identifying rail fractures from 95% to 98%, reducing derailment risks and operational disruptions.This system also minimizes false alarms by 50%, cutting unnecessary inspections and improving train flow efficiency.
	  • Rumo's migration to Oracle Cloud Infrastructure (OCI) has further optimized its operations, enabling real-time monitoring of 400 trains simultaneously and ensuring seamless coordination without collision risks.
	  • Additionally, Rumo partnered with Embratel and Nokia to expand 4G connectivity on trains, reducing communication delays in mountainous regions from seven minutes to mere seconds. This connectivity supports AI-enabled monitoring systems like cabin cameras, which will soon integrate analytics and AI for enhanced safety.
	• **Localiza**: Its AI-powered "Vai por Mim" platform provides personalized travel itineraries, including recommendations for attractions, restaurants, and activities, helping travel agents deliver tailored experiences to clients.
	  • The company also uses AI to automate internal processes through tools like Microsoft 365 Copilot, saving up to 8.3 working hours per employee per month and increasing productivity across key areas.
	  • In customer service, Localiza's Fast Retirada Digital offers a fully digital car pickup experience via its app, using facial recognition and AI to streamline identity validation and eliminate the need for counter service, significantly improving convenience and reducing wait times.
	  • Additionally, Localiza integrates AI into its app ecosystem to optimize fleet management, enable flexible subscription models like Localiza Meoo, and enhance user engagement with features like digital check-ins and vehicle selection.
	• **CCR**: AI is integrated into CCR's DataLab, which focuses on data science, machine learning, and AI to improve decision-making and operational efficiency.
	  • On highways, CCR uses AI-powered systems for vehicle recognition by physical characteristics and license plates, reducing toll evasion and enhancing traffic flow.
	  • Its Free Flow system eliminates traditional toll plazas, enabling seamless travel without speed reductions near collection points.
	  • In urban mobility, CCR employs AI-driven overcrowding warning systems on ViaQuatro trains to guide passengers to less crowded cars, improving comfort and efficiency.
	  • At airports like BH Airport, AI-powered biometric boarding systems ensure faster and safer passenger processing.
	  • Additionally, drones equipped with AI monitor roads and inspect bridges and viaducts for maintenance needs

Question	View
Is there any evidence that AI Use has begun to have a positive or negative impact on revenue or margins in your sector?	No
Is there any evidence that the use of AI has led to any slower rate of employee/headcount growth?	No
Which company in your coverage do you think is best positioned to take advantage of AI over the next three years? Where do you expect to see the biggest impact on P&L and can you size the potential opportunity?	WEG The company plays a critical role in powering AI-driven data centers through its partnership with Elea Data Centers. By supplying high-performance transformers to Elea's 50MW AI-focused site in São Paulo, WEG ensures reliable energy distribution tailored for AI applications, including liquid cooling systems for high-demand equipment. These transformers are engineered for sustainability and efficiency, aligning with Brazil's growing digital economy and positioning WEG as a leader in critical AI infrastructure. Plus, the company's expertise in transformers directly supports the scalability of AI operations by ensuring uninterrupted power supply to data centers, which are essential for hosting large-scale transformer-based AI models. There are two major opportunities to WEG: (a) Emergency Power Generation: Data centers use redundant power supply systems, primarily through generator sets, where WEG supplies the alternator generators. Marathon (one of WEG's brands) has significant exposure, working with some of the main providers of this type of solution in the U.S. An alternative is energy storage systems using batteries (BESS). (b) Cooling Systems: Data centers require cooling for processing systems. Consequently, the demand is expected to grow in the HVAC (Heating, Ventilating, and Air Conditioning) segment, which uses electric motors and automation equipment that we manufacture
Which company in your coverage is most challenged due to AI over the next three years and explain why?	We think all companies may benefit from AI, however infrastructure names such toll roads (PINFRA, ECOR, CCR), Mexican Airports (ASUR, GAP, OMA) may benefit less due its capital intense purpose which AI can’t support

Korea Machinery, Steel & Shipbuilding

Analyst(s): Yong-Suk Son

Question	View
Can you identify specific internal Use Cases for any Companies in your Coverage that has deployed AI?	**Machinery** Doosan Robotics is developing integrated AI-based cobot solutions, embedding intelligence into both its hardware and software. The company uses AI to enhance productivity and user convenience by 1) building an AI-based development ecosystem to maximize solution productivity in manufacturing process and 2) providing capabilities for path optimization, complex motion optimization, and multi-robot task optimization. The company offers plug-and-play AI-based solutions across logistics, electronics, and palletizing, and plans to expand into humanoid platforms. **Shipyards** Hyundai Heavy, Samsung Heavy, Hanwha Ocean, and Hyundai Marine Solution are using AI as part of the smart yard transition, thereby improving efficiency and lowering cost. They also use AI for design optimization and predictive maintenance. **Steelmakers** POSCO and Hyundai Steel use AI to optimize blast furnace operations, reduce defects, and detect anomalies via smart CCTVs.
Is there any evidence that AI Use has begun to have a positive or negative impact on revenue or margins in your sector?	No companies have specifically provided AI-driven revenue or margin lift yet. Doosan Robotics guided to strengthen its AI solution business to secure higher ASP and profitability in mid to long term. Others cite internal efficiency gains, but non provide quantified AI-driven P&L impact.
Is there any evidence that the use of AI has led to any slower rate of employee/headcount growth?	There has not been any visible slowdown in hiring yet but longer-term, AI is expected to enhance productivity.
Which company in your coverage do you think is best positioned to take advantage of AI over the next three years? Where do you expect to see the biggest impact on P&L and can you size the potential opportunity?	We believe Doosan Robotics is best positioned to benefit from AI over the next 3 years. The company is transitioning from selling standalone cobot arms to delivering AI-based solutions with higher ASPs. Doosan Robotics guided it will drive AI-centered innovation over the next 2-3 years to enable entry into the multi-arm (practical humanoids) robotics market. While meaningful revenue/earnings from AI may come beyond this time frame, the company is clearly positioning itself as a long-term AI platform leader
Which company in your coverage is most challenged due to AI over the next three years and explain why?	We don't see any company in our coverage as structurally at risk from AI over the next 3 years.

US Homebuilders & Building Products

Analyst(s): John Lovallo

Question	View
Can you identify specific internal Use Cases for any Companies in your Coverage that has deployed AI?	Although AI has not been a major topic of discussion in our sector, some of the homebuilders have begun making investments in technology which they attribute to AI. There still remains a wide range of opportunities, but we believe there are use cases for the homebuilders to streamline the home showing/tour process (and general corporate overhead), as well as make their pricing/incentive tools more dynamic. Additionally, certain homebuilders have talked about the opportunity to use AI to automate the selection of interior finishes based on consumer preferences by market
Is there any evidence that AI Use has begun to have a positive or negative impact on revenue or margins in your sector?	We have not seen AI have a material financial impact on any of our companies yet. However, when MTH reported 1Q25 results they partially attributed their elevated SG&A spend in the quarter to "technology investments" which pertained to preliminary work on AI opportunities
Is there any evidence that the use of AI has led to any slower rate of employee/headcount growth?	No, not yet
Which company in your coverage do you think is best positioned to take advantage of AI over the next three years? Where do you expect to see the biggest impact on P&L and can you size the potential opportunity?	Difficult to say. MTH is one of the first companies to reference investments in AI, although most of the large public builders are likely exploring similar opportunities. The building product distributors (BLDR and FERG) are also likely to benefit from improved pricing tools and supply chain analytics.
Which company in your coverage is most challenged due to AI over the next three years and explain why?	Difficult to say. We don't think any of our companies are particularly challenged due to AI.

EU Building Materials & Construction

Analyst(s): Marcus Cole

Question	View
Can you identify specific internal Use Cases for any Companies in your Coverage that has deployed AI?	• **Administrative Automation**: Some companies have highlighted the use of Microsoft's Copilot and other AI-powered products to automate some internal processes to enhance productivity. For example, Taylor Wimpey has highlighted time saved from its Copilot deployment has been dedicated to 'more value-adding activities', where it has realised benefits in the speed and quality of customer service engagement. These cost savings are unlikely to be material in the short-term. • **Health and Safety**: AI is being used to help reduce accident and incident rates. For example, Barratt Redrow and Vistry have deployed AI-powered cameras to their fleet of telehandlers. The cameras alert drivers to the presence of humans, reducing the risk of a pedestrian accidents. • **Predictive Maintenance**: Holcim has deployed an AI solution to improve maintenance at over 100 plants. Additionally, CRH has invested in an AI leak detection software company. AI-powered predictive maintenance and logistics optimisers stand to benefit the companies in our coverage, which reduce down-time in manufacturing and improve inventory management, reducing costs and minimising waste. • **Production Optimisation**: Holcim launched OptiCEM in 2024 to use AI to optimise cement formulation for KPIs including cost and carbon footprint. Additionally, Heidelberg Materials partnered with Giatec Scientific to develop SmartMix AI solution which aims to leverage AI to reduce material cost and CO2 emission in the production of Ready-mix Cement. There may be some incremental efficiency gains and cost reduction from AI deployment here.
Is there any evidence that AI Use has begun to have a positive or negative impact on revenue or margins in your sector?	Many companies have highlighted the strategic significance of AI investment and have various initiatives to deploy AI. However, no companies have assigned any explicit financial targets or capital deployment ambitions in relation to AI. We think at this stage AI is having an immaterial impact on operational performance.
Is there any evidence that the use of AI has led to any slower rate of employee/headcount growth?	There is no material evidence to support the claim AI has led to slower headcount growth, despite many companies highlighting some productivity gains. The counter argument is that in the short-term headcount gradually increases an AI specialists are hired before productivity gains are realised.
Which company in your coverage do you think is best positioned to take advantage of AI over the next three years? Where do you expect to see the biggest impact on P&L and can you size the potential opportunity?	Currently AI adoption has been relatively limited across Building & Construction and therefore it is not yet clear which companies can take advantage in a material way over the medium-term.
Which company in your coverage is most challenged due to AI over the next three years and explain why?	Given limited current AI deployment across our coverage universe, it is not yet clear if there is a clear company or subsector which will be challenged.

EU Support Services

Analyst(s): Rory McKenzie

Question	View
Can you identify specific internal Use Cases for any Companies in your Coverage that has deployed AI?	European Business Support Services companies are generally highly labour-intensive, but have largely been on a journey to digitalise their business models over the past 10yrs+. Our subsectors provide non-core services for thousands of clients across multiple sites in many geographies, employing millions of workers - and so many companies therefore talk about digital tools (including recently AI) in the context of using automation to try and improve efficiency across these disparate contracts and processes. In this general case, as is likely true for many sectors, AI can be used to improve business elements such as customer/employee interaction (including both new customer outreach/marketing and existing customer management), contract drafting, report creation, work scheduling, and internal services such as legal/finance/HR management. From these areas, we believe there is scope for significant reduction in the indirect cost associated with delivering outsourced contracts for clients: after previous paradigm shifts in the sector led to -10-20% reductions in contract costs (e.g. first-generation outsourcing in 2000+; service bundling in 2010+), we believe similar savings could be achieved again. There are also potential new outsourced services opportunities that AI could open up for existing companies. However, in industries where permanent competitive advantage is largely low, these savings and/or profit opportunities are typically mostly delivered to clients via lower pricing - therefore for most companies, we expect AI deployment over the next decade to result in -20-50% lower indirect headcount intensity and cost intensity, but much more limited change in direct cost intensity, lower contract pricing, and potentially rising capex (software, hardware): overall we expect leading company ROIC to be broadly stable. We believe there likely only be a few companies in our sector that will see AI deployed in a way that significantly alters their competitive advantage. Areas of interest to track here include: • **Experian** - global leading credit bureaux with therefore unique data records and ability to use AI to extract intelligence and/or design smart platforms to interface with the data. For example, new offerings allow clients to use Experian AI to generate regulatory reporting documents instantly - reducing their own cost, which for Experian means new revenue opportunities for little incremental cost • **Staffing & Recruitment** - large amount of admin & processing (e.g. writing job ads, contacting/scheduling candidates, arranging shifts/payroll) is done by humans today in an area of high cost for clients (labour), but limited structural differentiation and low barriers to entry mean any cost savings are likely to be competed away in pricing to the end client. • **Teleperformance/Outsourced CX**– the 'customer experience' market has generally been viewed as one of the more vulnerable to AI disruption given the high labour intensity and degree of repetitive tasks. For a number of years now, most leading firms have been using integrated AI tools to improve agent efficiency and streamline the traditional customer service call flow (e.g. by showing the 'next best action'). AI is also used extensively to help with employee onboarding and training, while CX firms also have a role to play in helping clients to embed AI tools into their own CX environments, given their expertise at this integration layer. While AI is a potential cost reduction tool for outsourced CX firms, and Teleperformance in particular has a good track record of growing and even entrenching its market leadership through previous technology shifts, the company trades on a disruption multiple of c6x PE as the market appears more concerned about potential deflation and competition risks.

Question	View
Can you identify specific internal Use Cases for any Companies in your Coverage that has deployed AI?	• **Testing & Inspection** - **SGS, Bureau Veritas, Intertek** have 80+yrs of track records of assessing clients' assets/products/processes for compliance with internal/external standards and requirements, but much of this is still very manual. AI could significantly speed the process of report creation (freeing up qualified agent time), and also could be valuable in extracting more intelligence from the existing database of assessments.
Is there any evidence that AI Use has begun to have a positive or negative impact on revenue or margins in your sector?	**Experian** - we believe that the implied acceleration of adj. EBITDA margins under the new guidance framework for FY'25-28e is somewhat attributable to AI enhancing productivity (e.g. in coding/product development). **Outsourced CX** - we have seen US peers (e.g. Concentrix) report an immediate hit to the revenue line due to deflation, and a squeeze on margins due to upfront investments in technology - both as a result of automating volumes which were previously administered by FTEs in key contracts such as an airline which has been a partner for decades. We note the following excerpt from the Q3'24 CNXC conference call: 'we deployed an AI bot that in the first month, handled 40% of all transactions completely autonomously with a high customer satisfaction rate. For us, this resulted in an immediate 12% reduction in revenue in the near term and some margin pressure.' While Concentrix clearly hopes to grow its share of higher value-add work with the same customers in future, this is not hugely visible today and depressed valuations in the CX space suggest that investors are sceptical about the path to this over time. In recent months Teleperformance has announced a significant €100m investment program to support AI partnerships, but has confirmed it will continue to adopt a hybrid approach to AI tech that combines company specific investments with partnerships with AI leaders/start-ups.
Is there any evidence that the use of AI has led to any slower rate of employee/headcount growth?	We have generally observed that over the past decade, the rate of revenue growth (and headcount growth) in the listed sector has slowed - this has in part been due to rising maturity of outsourcing sectors, but also we believe as company emphasis switched to digitalising business models and so reducing labour intensity. This is evidenced by a rising capex/sales ratio over the same time period, although these are broad trends and specific companies/time periods have been volatile. It is also hard to read at the moment due to the prolonged downturn in B2B spending trends in the post-pandemic tightening/tariff risk environment, but we do expect to see evidence of further average productivity gains for our companies over the next 5yrs. For example, in professional staffing we estimate that Hays & PageGroup could in time achieve the same gross profit level seen in 2019 with -15% fewer FTEs. More immediately, we await Experian's FY'25e annual report with interest to see whether another year of +8% organic revenue growth has been achieved with little/no headcount additions. Elsewhere, Teleperformance's revenue growth (+7% CAGR) has been ahead of FTE growth (+5% CAGR) for much of the last decade – but there could be signs headcount could now go into reverse.
Which company in your coverage do you think is best positioned to take advantage of AI over the next three years? Where do you expect to see the biggest impact on P&L and can you size the potential opportunity?	Experian is inherently positioned to benefit from advances in AI, due to its large and unique data assets and its position as a service tool for clients across wide industries. While labour intensity is lower than in many other sectors at 50% of the cost base, there are potential for significant labour productivity enhancements (from e.g. AI coding augmentation, faster product launches). We believe management's guidance for +30-50bps p.a. EBITA margin expansion from the current c28% level largely relies on near-term operating leverage and long-term legacy infrastructure cost reduction - a 'blue sky' scenario where AI allows for continued high-single digit revenue growth with no expansion in the labour force could see margins rise +60-90bps p.a. In addition, we could see scope for faster acceleration of new products and personalised consumer experiences driving >20% revenue CAGR in the B2C division - in total FY'28e upside scenario EPS is >20% ahead of our base case.

Question	View
Which company in your coverage is most challenged due to AI over the next three years and explain why?	Teleperformance, the world's largest outsourced CX company, is perceived as among the most vulnerable to AI disruption as an employer of c500k people globally (labour costs c65% of sales), with a primary focus on repetitive – and therefore potentially automatable – customer service tasks. While TEP has successfully grown through previous tech shifts (e.g. simple rule-based automation, chatbots, RPA), and appears to view newer AI technologies as primarily a tool for augmenting agent productivity and even offering new services, the shares are trading on a disruption multiple of c6x PE. We believe this reflects concerns around the potential impact on pricing and competition from AI, especially if future models can directly handle more customer-facing interactions and other tasks which have historically been regarded as too complex/sensitive for automation. While our base case does not assume TEP's model is disintermediated, we see LSD% group organic growth vs the long-term average +8-9%, primarily as we anticipate deflation to accelerate vs history. We also expect Core Services margins to fall by c37 bps across our forecast period (FY25E – FY29E) due to some upfront investments in new technology, as well as generally deflationary dynamics which we believe require careful and constant cost adjustments. While this is a slowing rather than collapsing growth profile, we acknowledge that uncertainty is wide and a re-rating could prove challenging without a clear acceleration in growth trends. Staffing companies (Adecco, Randstad, Hays, PageGroup in our European coverage) all operate in industries with high degrees of repeating processes and so a high degree of potential automation. While so far, competing digital-only talent models have been largely restricted to very specific markets and/or verticals, growth in AI could tip these towards a more 'general' model that could increase price competition. Leading players should also be able to implement new tools however, especially given incumbency advantages in terms of client relationships and candidate brand awareness/network effects, but companies must be at the front of innovation or risk competitive advantages being eroded.

US Business Services

Analyst(s): Joshua Chan

Question	View
Can you identify specific internal Use Cases for any Companies in your Coverage that has deployed AI?	We have a human capital intensive sector, and while we don't see meaningful scenarios where humans are fully displaced by AI, AI can help make certain workflow more efficient. We've heard of examples in recruiting where recruiters use AI to help with lower-value tasks (e.g., finding candidates, sorting resumes etc.). These seem reasonable but have not yet yielded a meaningful improvement in productivity.
Is there any evidence that AI Use has begun to have a positive or negative impact on revenue or margins in your sector?	No, not likely
Is there any evidence that the use of AI has led to any slower rate of employee/headcount growth?	No, not at this time
Which company in your coverage do you think is best positioned to take advantage of AI over the next three years? Where do you expect to see the biggest impact on P&L and can you size the potential opportunity?	We don't have any companies where utilizing AI can likely drive a meaningful P&L impact. If we are thinking of overall beneficiaries, FIX is likely the largest beneficiary of AI due to ~20% of the business derived from helping construct datacenters. Datacenters are now a $1.5B revenue business < $500m several years ago. Most of the $1.5B is with one hyperscaler, so a "blue sky" scenario can have this business grow significantly as other hyperscalers also utilize FIX. If the data-center business doubles in such a blue sky scenario, it can add $3+ in EPS to a ~$20 EPS base
Which company in your coverage is most challenged due to AI over the next three years and explain why?	FVRR – The freelancing platform has historically targeted low-spend freelancing work with average annual spend in the $300 range. Some of these activities performed by freelancers (writing/translation, graphic design etc.) could be at risk due to AI.

EU Autos

Analyst(s): Patrick Hummel

Question	View
Can you identify specific internal Use Cases for any Companies in your Coverage that has deployed AI?	AI is seen as a key enabling technology for highly automated driven, or even fully autonomous driving longer term. However, Tesla as well as some Chinese EV makers are at the cutting edge when it comes to AI usage in this field. Legacy OEMs and tier-1 suppliers have some know-how in the area, but technological breakthroughs are likely to happen outside the legacy auto world. This means that the companies in our coverage need to find technology partners helping them to bring higher levels of autonomy to their vehicles. This is why we think AI for autonomous driving doesn't represent a large monetization opportunity for auto companies. It's rather a must-have in order to have a state-of-the-art vehicle to sell. For those owning the technology, there are likely more monetization opportunities, also in the field of robotaxis. However, some players like BYD are offering their AD stack for free, ie, competitive pressures will likely limit the monetization opportunity in passenger vehicles. Otherwise, AI is showing up in the context of better understanding customers, making vehicles smarter and more personalized, and the help making the OEMs more efficient in terms of marketing, engineering and overhead processes etc. There is undoubtedly some revenue upside and cost savings potential associated with this. But in a very competitive industry like autos, only the early movers can show some P&L impact; over time, the savings are likely to get competed away. We wouldn't call out any single company in our coverage as being ahead of others, but we generally believe that in European autos, premium OEMs BMW and Mercedes-Benz have the highest internal resources and innovation power on the AI front.
Is there any evidence that AI Use has begun to have a positive or negative impact on revenue or margins in your sector?	Not observable and not communicated by any company in the European autos coverage. Potential savings tend to get competed away quickly. On the ADAS front, there is some monetization potential in Western markets, and the premium OEMs benefit more than mass OEMs due to higher willingness to pay for the features.
Is there any evidence that the use of AI has led to any slower rate of employee/headcount growth?	Too early to tell & difficult to attribute. The auto industry is almost constantly in cost cutting / restructuring mode given the shift to EVs and structurally higher levels of competition with Chinese OEMs globalizing. Many OEMs and suppliers have headcount reduction programs in place but AI isn't the prevailing driver at this point.
Which company in your coverage do you think is best positioned to take advantage of AI over the next three years? Where do you expect to see the biggest impact on P&L and can you size the potential opportunity?	As none of the European auto companies is as strong on the autonomous driving front as Tesla and the leading Chinese players, we think the monetization of higher levels of ADAS outside China will be limited to BMW and Mercedes-Benz, ie, the premium car segment where the willingness to pay and brand loyalty are relatively high. For tier-1s, the ADAS business is not very profitable due to continued high investment requirements. When it comes to AI as productivity / cost savings tool, none of the companies in our coverage stand out particularly. Against the backdrop of a challenged European autos sector, the tire makers (Continental, Pirelli, Michelin) stand out as defensive companies facing the least AI-driven earnings risks.
Which company in your coverage is most challenged due to AI over the next three years and explain why?	Generally, European mass OEMs (Volkswagen, Stellantis, Renault) are likely to face growing competition from Chinese competitors that innovate faster in the field on ADAS & other digital vehicle functions. Obviously, this will depend on how tariffs and other trade barriers evolve. The German premium OEMs remain under intense pressure in China from local competitors that are willing to give a lot of ADAS and other digital content for free.

US Autos

Analyst(s): Joseph Spak

Question	View
Can you identify specific internal Use Cases for any Companies in your Coverage that has deployed AI?	TSLA is using AI to develop automated driving and humanoid robots. MBLY uses AI to develop their automated driving features. GM is developing next-generation vehicles, factories and robots using AI, simulation and accelerated computing. GM also recently announced they will look to move further into personally owned autonomy using AI. A number of companies are or plan to use AI to improve plant manufacturing efficiency and in some cases product design. This would affect manufacturing. If autos needs to resource to US for tariff reasons, then US manufacturing would need to be advanced and more automated and leverage AI.
Is there any evidence that AI Use has begun to have a positive or negative impact on revenue or margins in your sector?	The most meaningful impact we have seen thus far from a revenue perspective has been from companies that sell into AI data centers like APH, TEL. We have seen higher cost (R&D) and/or capex at companies such as TSLA, RIVN, and MBLY from AI related investment. Else, we have see limited impact on P&L and this may remain limited over next few years may still be limited.
Is there any evidence that the use of AI has led to any slower rate of employee/headcount growth?	Not yet and if there is any it has been difficult to discern. That said, we do believe that overtime, as OEMs and suppliers a like use AI and automation to improve plant productivity there can be margin enhancement. Automakers such as TSLA, GM, F, RIVN have talked about these efforts as have suppliers such as LEA, APTV, DAN and more.
Which company in your coverage do you think is best positioned to take advantage of AI over the next three years? Where do you expect to see the biggest impact on P&L and can you size the potential opportunity?	TSLA is the company that is best positioned to take advantage of AI via more automated driving and continuing to develop humanoid robots. The positive impact on P&L may still take some time to be material. See our Tesla Robotaxi opportunity report.
Which company in your coverage is most challenged due to AI over the next three years and explain why?	To the extents that legacy automakers don't use AI to adapt manufacturing to stay more competitive, or develope/pursue more automated driving features using AI, they could face growing competition and risk share loss.

China Autos

Analyst(s): Paul Gong

Question	View
Can you identify specific internal Use Cases for any Companies in your Coverage that has deployed AI?	In leading Chinese EV makers, there are already AI in applications in several cases: 1) smart cockpit where drivers can talk to the vehicle in natural language, to turn on/off and adjust the non-driving functions including windows, entertainment, navigations, etc.; 2) autonomous driving where AI could take a more active role in advanced autopilot functions in both highway and urban areas; and 3) industrial use where AI could monitor manufacturing equipment and predict the potential quality defects. In the battery manufacturing, AI has played a key role in product development and quality control.
Is there any evidence that AI Use has begun to have a positive or negative impact on revenue or margins in your sector?	For the whole sector impact on revenue or margin is not obvious, given the competition has brought the benefits of new technologies largely to consumers. However, ability to use AI to enhance product quality and/or to optimize cost contributed to the competitiveness of the individual companies, especially in the high-end segment.
Is there any evidence that the use of AI has led to any slower rate of employee/headcount growth?	No clear evidence, the elimination of headcount on production line is probably compensated by the increase of headcount in AI application and development team.
Which company in your coverage do you think is best positioned to take advantage of AI over the next three years? Where do you expect to see the biggest impact on P&L and can you size the potential opportunity?	Li Auto and XPeng, in advanced autonomous driving function, smart cockpit of the vehicle, and humanoid robots.
Which company in your coverage is most challenged due to AI over the next three years and explain why?	Not Applicable

US Freight Transports

Analyst(s): Thomas Wadewitz

Question	View
Can you identify specific internal Use Cases for any Companies in your Coverage that has deployed AI?	We see the greatest potential for AI application in the Asset Light sector of transports (brokers and forwarders like CHRW, RXO, and EXPD) where employee interaction is significant in terms of sourcing capacity, matching freight, and handling issues with in-transit shipments. Processes like these can be automated using AI, leading to greater efficiency and faster response times to inquiries from customers and capacity providers. On the Asset Based side, XPO has been beta testing proprietary AI to improve freight flows across their LTL network, including linehaul optimization and routing assignments. 2.Be specific as to which areas it is directly impacting (general headcount, marketing, lead generations, agents), and whether the impact could be material. There is potential for reduced headcount over the long term at brokers and forwarders if AI can handle more complex tasks, but the initial benefit is improved productivity for the existing salesforce. Customer / shipper preference will likely remain a key consideration even as AI tools improve, since some shippers want a dedicated salesperson available for communication.
Is there any evidence that AI Use has begun to have a positive or negative impact on revenue or margins in your sector?	AI has not been identified as a key driver of, or impediment to, earnings targets for any transport companies. There is a possibility that brokers and forwarders could realize more meaningful cost/ headcount reduction from AI tools in the next three years.
Is there any evidence that the use of AI has led to any slower rate of employee/headcount growth?	No, not that we are aware of.
Which company in your coverage do you think is best positioned to take advantage of AI over the next three years? Where do you expect to see the biggest impact on P&L and can you size the potential opportunity?	Brokers and forwarders like CHRW, RXO, and EXPD are best positioned. Using CHRW as an example, personnel costs are ~50% of net revenue (gross revenue minus cost of transportation). A 10% reduction in personnel costs would increase operating income by 15%-20%. This example is illustrative; we do not know how much labor savings AI could drive over the next three years
Which company in your coverage is most challenged due to AI over the next three years and explain why?	It's not clear which transport company / sector would be most challenged by AI. There is opportunity for all transports to utilize AI to drive productivity in operations, but we don't view AI as a negative disrupter for the transportation industry given the physical nature of goods movement.

EU Transport

Analyst(s): Cristian Nedelcu

Question	View
Can you identify specific internal Use Cases for any Companies in your Coverage that has deployed AI?	**Logistics**: • **K+N**: piloting AI driven pricing using a digital twin to simulate pricing dynamics in logistics, combining several models into a comprehensive simulation. In 2024 this was initially rolled out onto 24 lanes out of the UK, further expanded to 100 lanes. In 2025 this is being rolled out to all significant countries • **DP-DHL**: Use of AI in customer service (as part of Fit for growth program), enrichment of customer data and leads, customs clearance (product classification enhanced through test and train model based on company data) **Airports**: • **Fraport**: operational efficiency initiatives such as AI driven turnaround processes and intelligent dispatching agents to be rolled out towards the end of 2025 • **Flughafen Zurich**: Installing artificial intelligence cameras at the dock stands to make anticipation which staff needs to be where
Is there any evidence that AI Use has begun to have a positive or negative impact on revenue or margins in your sector?	No
Is there any evidence that the use of AI has led to any slower rate of employee/headcount growth?	No
Which company in your coverage do you think is best positioned to take advantage of AI over the next three years? Where do you expect to see the biggest impact on P&L and can you size the potential opportunity?	Freight Forwarder productivity has been low historically with a freight forward operator dealing with 60-80 files (shipments) per month. We believe AI could enable further automation and productivity improvements in the industry. The benefits are difficult to quantify at this stage, directionally in terms of order of magnitude we believe these could offset part of the inflationary pressure over the next 2-3 years. DP-DHL and K+N to pick the low-hanging fruit and catch up in terms of their technological capabilities, and thus greater scope for margin improvements.
Which company in your coverage is most challenged due to AI over the next three years and explain why?	Whilst DSV is the industry leader both in terms of digital transformation and margin performance, the business model is highly dependent on customers paying a premium for personal contact. There is a question as to whether this premium can be maintained in a more automated but intelligent industry.

EU SMID

Analyst(s): Natasha Brilliant

Question	View
Can you identify specific internal Use Cases for any Companies in your Coverage that has deployed AI?	• Process automation • Improvement in data analytics • Driving labor productivity • Enhanced customer experience
Is there any evidence that AI Use has begun to have a positive or negative impact on revenue or margins in your sector?	Use of AI should support margin growth
Is there any evidence that the use of AI has led to any slower rate of employee/headcount growth?	No direct evidence, but there is lots of commentary around improved efficiency thanks to AI
Which company in your coverage do you think is best positioned to take advantage of AI over the next three years? Where do you expect to see the biggest impact on P&L and can you size the potential opportunity?	Arcadis
Which company in your coverage is most challenged due to AI over the next three years and explain why?	Not Applicable

EU SMID

Analyst(s): Olivier Calvet

Question	View
Can you identify specific internal Use Cases for any Companies in your Coverage that has deployed AI?	None they have been public about so far
Is there any evidence that AI Use has begun to have a positive or negative impact on revenue or margins in your sector?	No evidence so far but Jenoptik revenues and earnings are positively exposed as a supplier to ASML (the semiconductor and advanced manufacturing segment where they produce components for ASML's EUV/DUV lithography machines is 44% of 2024 revenues, 63% of EBITDA). Bilfinger is using AI for predictive maintenance with its customers, and noted a related 30% reduction in maintenance costs at its June 2024 CMD.
Is there any evidence that the use of AI has led to any slower rate of employee/headcount growth?	None so far
Which company in your coverage do you think is best positioned to take advantage of AI over the next three years? Where do you expect to see the biggest impact on P&L and can you size the potential opportunity?	Possibly Bilfinger given their targeted growth in revenues "supported by digitalization from ~5% of group in 2024 to >40% by 2025/27
Which company in your coverage is most challenged due to AI over the next three years and explain why?	Not applicable

EU SMID

Analyst(s): Tommaso Operto

Question	View
Can you identify specific internal Use Cases for any Companies in your Coverage that has deployed AI?	• For Implenia and the construction sector in general, AI driven scheduling tools can analyze historical project data and help to optimize timelines and resource allocation, and offer predictive analysis for anticipating delays and cost overruns. The impact for the sector is likely to be immaterial though. • For Sensirion, AI enables several use cases for their sensors. AI models can use sensor data to dynamically adjust HVAC systems for instance. Likely to lead to additional growth opportunities for the company. Similarly, LEM Holding can offer High voltage sensors for battery management, where AI models can use sensor data inputs to predict battery health and optimize thermal management. • For BKW and integrated utilities in general, AI can offer several use cases, mostly around the Energy trading divisions. AI can support price forecasting across markets, and support risk modeling, as well as support forecasting for solar and hydroelectric power generation by training the AI models with weather and historical data. Given the volatility of earnings in the trading divisions, the impact could potentially be material.
Is there any evidence that AI Use has begun to have a positive or negative impact on revenue or margins in your sector?	Too early to say it is material (across entire small and midcap sector). AI integration in construction is currently still limited, but with BIM (Building Information Modeling), construction companies have digitalised most of their construction planning, which helps monitor progress. P&L impact is not so much on higher margins, but probably more geared to better risk management, and lower probabilities of cost overruns on the construction projects.
Is there any evidence that the use of AI has led to any slower rate of employee/headcount growth?	No, too early to say it is material (across entire small and midcap sector)
Which company in your coverage do you think is best positioned to take advantage of AI over the next three years? Where do you expect to see the biggest impact on P&L and can you size the potential opportunity?	The biggest P&L impact will be for the AI enabler being the semi supply chain stocks Inficon, Comet and VAT in our coverage.
Which company in your coverage is most challenged due to AI over the next three years and explain why?	We have limited service company coverage in small and midcap as here we would see impacts with AI taking over product control etc.

EU SMID

Analyst(s): Patrick Rafaisz

Question	View
Can you identify specific internal Use Cases for any Companies in your Coverage that has deployed AI?	In general, across Swiss SMIDs I would say larger caps are ahead in developing use cases with smaller caps rather lagging behind. That said, across my universe still very early days with companies rather dabbling with AI rather than deploying on a broader scale. I only have 3 concrete examples in the building space. • Sika is using AI as a means to gain market intelligence and better assess regional price elasticities. One use case would be Asia, in particular China, where they use AI to infer in which micro-geographies they're sales levels would suggest lack of market share and hence additional points of sales need to be added. • Geberit has very recently built up a small in-house AI team (3 external hires, 2 internal) to explore and develop use cases. The areas they're specifically targeting are sales & marketing with the goal to gain market share and how to evaluate how best use AI tools internally. • Burckhardt Compression is running an AI pilot in their Services division which should supposedly help to make better predictions around future maintenance and repair needs.
Is there any evidence that AI Use has begun to have a positive or negative impact on revenue or margins in your sector?	Minor positive on sales growth potentially IF advanced market intel leads to market share gains, i.e. IF main competitors fall behind and AI use creates a first / early mover advantage
Is there any evidence that the use of AI has led to any slower rate of employee/headcount growth?	No
Which company in your coverage do you think is best positioned to take advantage of AI over the next three years? Where do you expect to see the biggest impact on P&L and can you size the potential opportunity?	Too early to quantify. To my comment above, probably larger caps with deeper pockets could start to gain faster market share, but this would come at the expense of increased IT spending hence likely not margin accretive necessarily. Would assume this will just shift the spending from marketing to IT with overall % of sales unchanged. Geberit has mentioned that the necessary IT infrastructure and all the licencing needed from the likes of Microsoft is getting pretty expensive and they're trying to lock in multi-year contracts now to ring-fence costs at least temporarily.
Which company in your coverage is most challenged due to AI over the next three years and explain why?	Too early to tell. In my coverage most companies are leading players in their global niches. In general probably most challenged would be smaller players competing against large, industry-leading companies.

Australia Emerging Companies

Analyst(s): Apoorv Sehgal

Question	View
Can you identify specific internal Use Cases for any Companies in your Coverage that has deployed AI?	IPH: 1) AI opens up a new sector of innovation, supporting patent filings activity from corporations, positive for IPH; 2) AI helps automate systems, increasing speed of filing patents; 3) On the flip side, there is debate as to where AI could 'replace' patent attorneys – no evidence so far.
Is there any evidence that AI Use has begun to have a positive or negative impact on revenue or margins in your sector?	Have attributed a positive financial impact, but hard to quantify and likely quite immaterial especially given overall patent filings in the industry have been in slight decline.
Is there any evidence that the use of AI has led to any slower rate of employee/headcount growth?	Not specifically
Which company in your coverage do you think is best positioned to take advantage of AI over the next three years? Where do you expect to see the biggest impact on P&L and can you size the potential opportunity?	Not Applicable
Which company in your coverage is most challenged due to AI over the next three years and explain why?	IPH – from a threat perspective, AI could be disruptive to the need for highly qualified patent attorneys, should AI support the filing and examination process of patents. IPH is effectively a law firm charging for work done. That said, there is no clear evidence for this threat playing out as yet, and may never play out – legal information is highly specialized and arguably requires human knowledge.

Australia and New Zealand Emerging Companies

Analyst(s): Tim Piper

Question	View
Can you identify specific internal Use Cases for any Companies in your Coverage that has deployed AI?	Kelsian (KLS): Has invested in AI to assist in demand modeling, pricing and network efficiency across its government contracted bus transportation businesses. Possibility to drive efficiency in operations and reduce down time utilizing AI for network planning and running.
Is there any evidence that AI Use has begun to have a positive or negative impact on revenue or margins in your sector?	No quantifiable impact. Expect P&L impact through margins from efficiency gains
Is there any evidence that the use of AI has led to any slower rate of employee/headcount growth?	No evidence
Which company in your coverage do you think is best positioned to take advantage of AI over the next three years? Where do you expect to see the biggest impact on P&L and can you size the potential opportunity?	Not Applicable
Which company in your coverage is most challenged due to AI over the next three years and explain why?	No obvious company challenged by AI

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Neutral	FSR is between -6% and 6% of the MRA.	41%	20%
Sell	FSR is > 6% below the MRA.	8%	22%
Short-Term Rating	**Definition**	**Coverage[3]**	**IB Services[4]**
Buy	Stock price expected to rise within three months from the time the rating was assigned because of a specific catalyst or event.	<1%	<1%
Sell	Stock price expected to fall within three months from the time the rating was assigned because of a specific catalyst or event.	<1%	<1%

Source: UBS. Rating allocations are as of 30 June 2025.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.
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